

**Minutes of the 97th Meeting of the
INTERNATIONAL AUDITING AND ASSURANCE STANDARDS BOARD (IAASB)
Held on August 7, 2018 by teleconference**

	Voting Members	Technical Advisors (TA)
Present:	Prof. Arnold Schilder (Chairman) Megan Zietsman (Deputy Chair) Abhijit Bandyopadhyay Fiona Campbell Chun Wee Chiew Robert Dohrer Karin French Marek Grabowski Len Jui Prof. Kai-Uwe Marten Chuck Landes Lyn Provost Ron Salole Rich Sharko Isabelle Tracq-Sengeissen Imran Vanker	Sara Ashton (Ms. French) Vivienne Bauer (Mr. Monroy) Nicolette Bester (Mr. Vanker) Wolf Böhm (Prof. Marten) Melissa Bonsall (Ms. Zietsman) Andrew Gambier (Mr. Chiew) Ahava Goldman (Mr. Dohrer) Hiram Hasty (Mr. Landes) Josephine Jackson (Mr. Grabowski) Susan Jones (Mr. Jui) Sachiko Kai (Ms. Tracq-Sengeissen) Jamie Shannon (Mr. Sharko) Sylvia Van Dyk (Ms. Provost) Denise Weber (Ms. Campbell)
Apology:	Fernando Ruiz Monroy Ge Zhang	Shu Duan (Mr. Zhang) Eric Turner (Mr. Salole) Sanjay Vasudeva (Mr. Bandyopadhyay)
	Non-Voting Observers	
Present:	Jim Dalkin (IAASB Consultative Advisory Group (CAG) Chair), Yosh'inao Matsumoto (Japanese Financial Services Authority)	
Apology:	Juan Maria Arteagoitia (European Commission)	
	Public Interest Oversight Board (PIOB) Observer	
Present:	Karen Stothers	

IAASB Technical Staff

Present: Dan Montgomery (Interim Technical Director), Beverley Bahlmann, Natalie Klonaridis, Jasper van den Hout, Armand Kotze, Chi Ho Ng (.

IAASB agenda materials referred to in these minutes can be accessed at <http://www.iaasb.org/meetings/new-york-usa-19>. These minutes are a summary of the decisions made at the June 2018 IAASB meeting, in light of the issues and recommendations in the agenda material put forth by the Task Forces (TF), Working Groups, Drafting Teams and Staff supporting the individual projects. These recommendations are made taking into account feedback from respondents to the IAASB's public consultations, in particular Exposure Drafts (EDs) of the IAASB's proposals, consideration of previous discussions of the Board and its CAG, and feedback from stakeholders through outreach activities.

1. Agreed-Upon Procedures (ISRS 4400)¹

The Board discussed the Agreed-Upon Procedures (AUP) Task Force's (the Task Force) proposals on professional judgment and relevant ethical requirements (**Agenda Item 1**). The IAASB generally supported the AUP Task Force's proposals.

PROFESSIONAL JUDGEMENT

The Board supported the Task Force's view that the role of professional judgment in an AUP engagement differs from that in an assurance engagement and that the role of professional judgment goes beyond the practitioner's consideration of the nature of the procedures. For example, professional judgment is involved in activities such as engagement acceptance and continuance and reporting.

The Board asked the Task Force to further consider:

- Including a reference to fraud in the paragraphs addressing non-compliance with laws and regulations as there may be circumstances when fraud may not be covered by non-compliance with laws and regulations.
- Changing the application material related to knowledge acquired from other engagements as it may not be practicable for the practitioner to consider knowledge from other engagements performed for the entity as these engagements may be performed by another audit partner. It was suggested that the knowledge acquired from performance of other engagements for the entity should be restricted to the engagement partner's knowledge or should be removed given that it will be difficult to operationalize.

RELEVANT ETHICAL REQUIREMENTS

The Board supported the Task Force's view that a practitioner performing an AUP engagement is required to comply with the fundamental principle of objectivity but is not required to be independent and asked the Task Force to further consider:

¹ International Standards on Related Services (ISRS) 4400, Engagements to Perform Agreed-Upon Procedures Regarding Financial Information

- Requiring, if the practitioner is not independent, a statement to this effect given the importance of transparency on whether the practitioner is (or is not) independent. Some Board members suggested that the AUP report should always include a statement about the auditor's independence.
- Clarifying the Task Force's proposed criterion for determining whether the practitioner is independent, as it is unclear what Part 4B² of the International Ethics Standards Board for Accountants (IESBA) Code,³ adapted as necessary for AUP engagements, means.

IAASB CAG CHAIR'S REMARKS

Mr. Dalkin noted that in his view the project is moving in the right direction. With respect to the auditor's independence when performing an AUP engagement, he agreed with the concept of objectivity and noted that disclosure of non-independence is critical for transparency.

PIOB OBSERVER REMARKS

Ms. Stothers noted that the professional judgment section had improved significantly and that the IAASB had a robust discussion of the topics presented.

WAY FORWARD

The AUP Task Force will present the proposed ISRS 4400 (Revised)⁴ for the Board's approval for exposure in September 2018.

² Part 4b of the IESBA Code, *Independence for Assurance Engagements Other than Audit and Review Engagements*

³ IESBA Code refers to the International Code of Ethics for Professional Accountants (including International Independence Standards)

⁴ Proposed ISRS 4400 (Revised), *Agreed-Upon Procedures Engagement*